GMS WEEKLY

Your Source for Recycling News

February 11th, 2022
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Week 6

Highlights:

- **Firm pricing.**
- **LC issues.**
- **Turkey Firms.**
- **Tanker Supply.**
- **Cape sold.**

QUOTE of the WEEK

"He who conquers himself is the mightiest warrior."

– *Confucius*

MARKET COMMENTARY

RAMPING UP!

Following recent upward moves on domestic steel plate prices at nearly every major recycling destination, it was another week of firm pricing and a sub-continent market that is still on an aggressive footing for the most part.

Demand remains rampant and capacity at yards remains open for any available tonnage (market or otherwise), leading to bidding wars on any of the marginal number of choice units hitting the recycling markets.

L/Cs are of continuing concern across the sub-continent destinations, and it is becoming increasingly important / urgent for industry players to have additional bank checks and margins must be placed with the opening banks to ensure L/Cs are opened and released in a timely manner. Therefore, the right selection of Cash / End Buyers' is an essential part of ensuring a smooth and successful delivery, especially at these record levels of today.

On the Western end of things, the Turkish market seems as though levels here too are looking to take off as import and local steel prices further firmed this week and the Lira sails through its newfound stability in the mid TRY 13s against the U.S. Dollar.

The supply of vessels has seen mostly tankers (often as young as 2003 - and younger at times) being sold for recycling this year. However, we are also likely to see Capesize Bulkers (one was sold this week) with charter rates having cooled off significantly over the previous few weeks, despite bouncing back towards the end of this week.

Vessels (Dry Bulk or Tankers) with surveys due and BWTS due to be installed, are likely to make up a majority of the supply for the remainder of the year, as owners look to take advantage of these fantastic prices, well over USD 600/LDT.

For week 6 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Improving	620 / LDT	630 / LDT	640 / LDT
2	Pakistan	Improving	610 / LDT	620 / LDT	630 / LDT
3	India	Improving	580 / LDT	590 / LDT	600 / LDT
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

BANGLADESH

HAVING TO COMPETE!

Pak competes.

Bangladesh has started to see some fierce competition from Pakistan this week, with rumours that levels on the VLCC NEW INSPIRATION (that was committed last week) were seeing similar levels in both markets, resulting in the deal becoming a potential candidate for either destination.

With this in mind, it was no surprise to see Berge sell their latest Capesize Bulker, the BERGE AORAKI (21,285 LDT) at a rather firm USD 640/LDT, basis a Bangladesh delivery and for strictly HKC green recycling to a local SoC certified yard.

Demand good.

Steel prices, though weaker this week by about USD 11/Ton, still remain impressively perched at some very high overall levels, keeping local demand and prices elevated, as Chattogram Recyclers hustle to try and secure some of the few vessels that are available.

Local port position certainly highlights the glaring shortage of tonnage, as only 1 fresh vessel reportedly arrived the Chattogram waterfront this week.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
BERGE AORAKI	Bulker	21,285	USD 640/LT LDT

INDIA

FRUSTRATIONS ABOUND!

India has even lost a favoured HKC vessel to the one SoC certified yard in Bangladesh, such has been the exuberantly competitive form of neighbouring sub-continent markets this week.

HKC lost.

There had been several specialist non-ferrous units concluded into India at the start of the year, but even this variety in the supply of tonnage has iced up over the last couple of weeks, whilst Alang Buyers become frustrated at the painful lack of tonnage once again.

Ironically however, despite both fundamentals registering declines this week, both demand and prices continue to buoy around the same region as last week.

Steel crash.

The India Rupee depreciated further past the mid Rs. 75 against the U.S. Dollar, whilst local steel prices depreciated by about USD 22/Ton through the course of the week, leaving End Buyers nervous about the market once again.

NO MARKET SALES REPORTED

PAKISTAN

DECADE LONG HIGHS!

VL decisions.

It will be interesting to see where the 2002 built VLCC NEW INSPIRATION eventually ends up, with both Bangladesh and Pakistan options seemingly open for the Cash Buyer on the resale front, as both markets are now competing aggressively at some record levels not seen for over a decade.

Of late, the industry has witnessed the Gadani market come roaring back to rival a rampant Bangladesh, with some of the highest levels on offer since 2008.

Roaring back.

Numbers on select tonnage are even starting to approach the mid USD 600s/LDT – yet the ongoing shortage of fresh tonnage for sale is leading to some well-above market speculation on those units that are working, so desperate are certain Recyclers to fill their plots.

NO MARKET SALES REPORTED

TURKEY

UPWARD?!

The stability in prices and overall performance of the Turkish market has been nothing short of impressive of late.

Impressive moves.

Prices have managed to remain relatively steady over the course of the last few months and despite the Lira breaching TRY 17 against the U.S. Dollar some time ago, demand and local offerings remain firm on the back of strong import and local steel plate prices.

In fact, this week once again, import steel prices improved by USD 5/Ton and local steel plate prices jumped by about USD 10/Ton. While the Lira dances around its newfound stability around the mid TRY 13s against the U.S. Dollar, a firming in levels seems imminent.

Firming prices imminent?

As such, as spring is on the horizon, the Turkish market certainly seems like it's gearing up to take in its share of tonnage coming out of EU waters.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Among lost works, this story might be even worse: Ernest Hemingway's first wife, Hadley, left a suitcase full of the author's writing on a train. When she went back to get it, it was gone. "I had never seen anyone hurt by a thing other than death or unbearable suffering except Hadley when she told me about the things being gone," Hemingway wrote in A Moveable Feast.*
- *Mary Shelley wrote Frankenstein when she 18, during a ghost story competition while staying in Switzerland with writers Percy Shelley (her lover) and Lord Byron.*
- *German chocolate cake doesn't come from Germany. It was named for a person, Sam German, who created a type of baking chocolate for Baker's in 1852.*
- *Hawaiian pizza was created in Ontario, Canada, by Greek immigrant Sam Panopoulos in 1962.*
- *Almost all commercially grown artichokes, 99.9 percent, come from California. One town in particular, Castroville, is nicknamed "the Artichoke Capital of the World."*
- *The different colors of Froot Loops cereal all taste the same—they're not individual flavors.*
- *What's inside a Kit Kat? Broken Kit Kats that are damaged during production—they get ground up and go between the wafers inside, along with cocoa and sugar. That's a way to not let anything go to waste!*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
February 05 – Vasant Panchami.	February 15 – February 22 February 28 – March 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day	February 01 – February 04 February 18 – February 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
February 01 – 04 – Spring Festival	February 05 – Kashmir Solidarity Day	**No holidays in February.**

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ALANG - Port Position as of February 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Brave (Under Tow)	1,810	Supply Vessel	Arrived February 09
2	*Dynamic Explorer*	*3,588*	*Fishing Vessel*	*Beached February 06*
3	Express	2,999	Chemical Tanker	Arrived February 07
4	*Glier*	*1,806*	*Chemical Tanker*	*Beached February 08*
5	*Haren (Under Tow)*	*1,713*	*Fishing Vessel*	*Beached February 06*
6	**Harriet**	**2,292**	**Tanker**	**Arrived December 09**
7	High One (Under Tow)	4,408	Barge	Arrived February 08
8	*Mercury Focus*	*10,289*	*Jackup Rig*	*Beached February 09*
Total Tonnage		**28,904**		

CHATTOGRAM - Port Position as of February 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Ambition Journey (Under Tow)*	*7,904*	*Bulk Carrier*	*Beached February 06*
2	V.L. 10	1,215	Tanker	Arrived February 03
Total Tonnage		**9,119**		

GADANI - Port Position as of February 11, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	DB Global 1	1,563.00	Barge	Arrived February 01
2	Jicore 9	468.00	Tug	Arrived February 01
3	Y Harmony	31,198.20	Cruise Ship	Arrived February 10
Total Tonnage		**33,229**		

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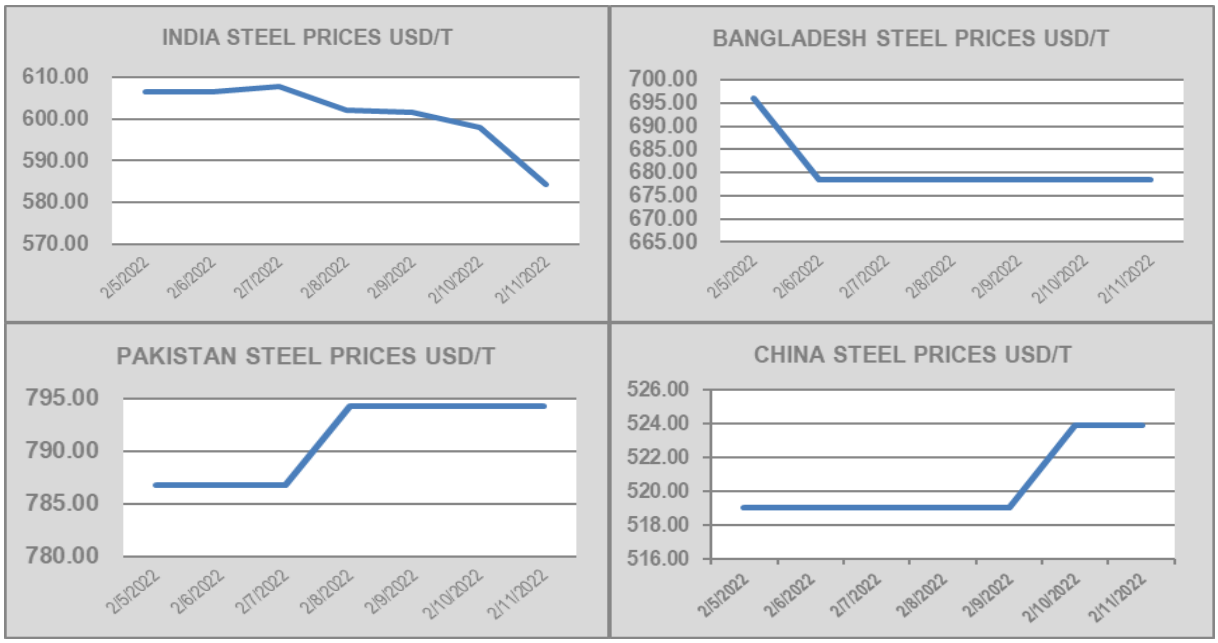
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/5/2022	606.43	45,300.00	786.72	137,000.00	695.91	59,500.00	519.03
2/6/2022	606.43	45,300.00	786.72	137,000.00	678.36	58,000.00	519.03
2/7/2022	607.76	45,400.00	786.72	137,000.00	678.36	58,000.00	519.03
2/8/2022	602.01	45,000.00	794.29	139,000.00	678.36	58,000.00	519.03
2/9/2022	601.52	45,000.00	794.29	139,000.00	678.36	58,000.00	519.03
2/10/2022	598.05	44,800.00	794.29	139,000.00	678.36	58,000.00	523.93
2/11/2022	584.33	44,000.00	794.29	139,000.00	678.36	58,000.00	523.93



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